

Contrary Opinion in Stock Market Techniques

Edward C. Johnson, II

W e approach the problem of investment first and foremost from a money-making point of view. We are not interested in fancy ideas and theories; we are interested in things that work. You might call us empirical pragmatists. Those are almost too heavy words for anyone to swallow, but I hope they convey a picture. Our almost religion is that we believe strongly in analysis of the present. The past is dead. We can learn from it, trying not to indulge in the "backward" successes we might have made. The future is a dream. That may be as may be. If you come to think of it, the present (I talk like a Zen Buddhist now) the present is really the only thing that anybody can actually use. So many people spend their lives thinking about the future ahead that they are hardly conscious of the present. Now there is not much you can do with the future. You can't love it, you can't taste it, you can only dream about it. This is our actual approach; we don't try to forecast. We can't buy or sell securities a month from now; we can only do it today. So what do we do today? That is enough for us to know.

The present we try to use, however, is not a static affair. It is dynamic, full of motion. It is the analysis of these dynamics and motion that is completely vital. To analyze correctly in this way the present . . . is to take advantage of